ADVANCED MICRO DEVICES, INC.

CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Millions except per share amounts and percentages) (Unaudited)

	Three Months Ended			Six Months Ended	
	June 28, 2025	**March 29, 2025**	**June 29, 2024**	**June 28, 2025**	**June 29, 2024**
Net revenue	$ 7,685	$ 7,438	$ 5,835	$ 15,123	$ 11,308
Cost of sales	4,366	3,451	2,740	7,817	5,423
Amortization of acquisition-related intangibles	260	251	231	511	461
Total cost of sales	4,626	3,702	2,971	8,328	5,884
Gross profit	3,059	3,736	2,864	6,795	5,424
Gross margin	40%	50%	49%	45%	48%
Research and development	1,894	1,728	1,583	3,622	3,108
Marketing, general and administrative	991	886	640	1,877	1,247
Amortization of acquisition-related intangibles	308	316	372	624	764
Total operating expenses	3,193	2,930	2,595	6,123	5,119
Operating income (loss)	(134)	806	269	672	305
Interest expense	(38)	(20)	(25)	(58)	(50)
Other income (expense), net	98	39	55	137	108
Income (loss) from continuing operations before income taxes and equity income	(74)	825	299	751	363
Income tax provision (benefit)	(834)	123	41	(711)	(11)
Equity income in investee	8	7	7	15	14
Income from continuing operations, net of tax	768	709	265	1,477	388
Income from discontinued operations, net of tax	104	-	-	104	-
Net income	$ 872	$ 709	$ 265	$ 1,581	$ 388
Earnings per share:					
Earnings from continuing operations - basic	$ 0.47	$ 0.44	$ 0.16	$ 0.91	$ 0.24
Earnings from discontinued operations - basic	$ 0.07	$ -	$ -	$ 0.07	$ -
Basic earnings per share	$ 0.54	$ 0.44	$ 0.16	$ 0.98	$ 0.24
Earnings from continuing operations - diluted	$ 0.47	$ 0.44	$ 0.16	$ 0.91	$ 0.24
Earnings from discontinued operations - diluted	$ 0.07	$ -	$ -	$ 0.06	$ -
Diluted earnings per share	$ 0.54	$ 0.44	$ 0.16	$ 0.97	$ 0.24
Shares used in per share calculation					
Basic	1,623	1,620	1,618	1,621	1,617
Diluted	1,630	1,626	1,637	1,628	1,638

ADVANCED MICRO DEVICES, INC.

CONDENSED CONSOLIDATED BALANCE SHEETS

(Millions)

	June 28, 2025	December 28, 2024
	(Unaudited)	
ASSETS		
Current assets:		
Cash and cash equivalents	$ 4,442	$ 3,787
Short-term investments	1,425	1,345
Accounts receivable, net	5,115	6,192
Inventories	6,677	5,734
Assets held for sale	4,326	-
Prepaid expenses and other current assets	2,534	1,991
Total current assets	24,519	19,049
Property and equipment, net	2,128	1,802
Goodwill	25,083	24,839
Acquisition-related intangibles, net	17,812	18,930
Deferred tax assets	860	688
Other non-current assets	4,418	3,918
Total Assets	$ 74,820	$ 69,226
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	$ 3,080	$ 2,466
Accrued liabilities	4,479	4,260
Liabilities held for sale	1,968	-
Other current liabilities	316	555
Total current liabilities	9,843	7,281
Long-term debt	3,218	1,721
Long-term operating lease liabilities	668	491
Deferred tax liabilities	341	349
Other long-term liabilities	1,085	1,816
Stockholders' equity:		
Capital stock:		
Common stock, par value $0.01	17	17
Additional paid-in capital	62,228	61,362
Treasury stock, at cost	(6,535)	(6,106)
Retained earnings	3,945	2,364
Accumulated other comprehensive income (loss)	10	(69)
Total stockholders' equity	59,665	57,568
Total Liabilities and Stockholders' Equity	$ 74,820	$ 69,226

ADVANCED MICRO DEVICES, INC.

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(Millions) (Unaudited)

	Three Months Ended		Six Months Ended	
	June 28, 2025	June 29, 2024	June 28, 2025	June 29, 2024
Cash flows from operating activities:				
Net income	$ 872	$ 265	$ 1,581	$ 388
Income from discontinued operations, net of tax	(104)	-	(104)	-
Adjustments to reconcile net income to net cash provided by operating activities:				
Depreciation and amortization	189	166	364	328
Amortization of acquisition-related intangibles	568	603	1,135	1,225
Stock-based compensation	369	346	733	717
Deferred income taxes	(33)	(190)	(200)	(256)
Release of reserves for uncertain tax positions	(853)	-	(853)	-
Inventory loss at contract manufacturer	-	-	-	65
Other	(10)	11	29	15
Changes in operating assets and liabilities:				
Accounts receivable, net	330	(661)	1,078	252
Inventories	(261)	(342)	(943)	(710)
Prepaid expenses and current assets	(140)	45	(377)	(874)
Accounts payable	836	262	547	(299)
Accrued and other liabilities	(301)	88	(589)	263
Net cash provided by operating activities of continuing operations	1,462	593	2,401	1,114
Net cash provided by operating activities of discontinued operations	549	-	549	-
Net cash flows provided by operations	2,011	593	2,950	1,114
Cash flows from investing activities:				
Purchases of property and equipment	(282)	(154)	(494)	(296)
Purchases of short-term investments	(492)	(132)	(796)	(565)
Proceeds from maturity of short-term investments	318	761	683	1,202
Proceeds from sale of short-term investments	15	-	48	2
Purchases of strategic investments	(119)	(90)	(358)	(94)
Acquisitions, net of cash acquired	(1,716)	-	(1,716)	-
Other	-	1	-	2
Net cash (used in) provided by investing activities of continuing operations	(2,276)	386	(2,633)	251
Net cash (used in) investing activities of discontinued operations	(22)	-	(22)	-
Net cash flows (used in) provided by investing activities	(2,298)	386	(2,655)	251
Cash flows from financing activities:				
Proceeds from debt and commercial paper issuance, net of issuance costs	-	-	2,441	-
Repayment of debt and commercial paper	(950)	(750)	(950)	(750)
Proceeds from sales of common stock through employee equity plans	155	143	159	148
Repurchases of common stock	(478)	(352)	(1,227)	(356)
Stock repurchases for tax withholding on employee equity plans	(46)	(97)	(76)	(226)
Other	-	-	-	(1)
Net cash (used in) provided by financing activities of continuing operations	(1,319)	(1,056)	347	(1,185)
Net (decrease) increase in cash, cash equivalents and restricted cash	(1,606)	(77)	642	180
Cash, cash equivalents and restricted cash at beginning of period	6,059	4,190	3,811	3,933
Cash, cash equivalents and restricted cash at end of period	$ 4,453	$ 4,113	$ 4,453	$ 4,113
Reconciliation of cash, cash equivalents and restricted cash				
Cash and cash equivalents	$ 4,442	$ 4,113	$ 4,442	$ 4,113
Restricted cash included in Prepaid expenses and other current assets	11	-	11	-
Cash, cash equivalents and restricted cash at end of period	$ 4,453	$ 4,113	$ 4,453	$ 4,113

ADVANCED MICRO DEVICES, INC.

SELECTED CORPORATE DATA

(Millions) (Unaudited)

	Three Months Ended			Six Months Ended	
	June 28, 2025	**March 29, 2025**	**June 29, 2024**	**June 28, 2025**	**June 29, 2024**
Segment and Disaggregated Revenue Information[1]					
Net Revenue:					
Data Center Segment	$ 3,240	$ 3,674	$ 2,834	$ 6,914	$ 5,171
Client and Gaming Segment					
Client	2,499	2,294	1,492	4,793	2,860
Gaming	1,122	647	648	1,769	1,570
Total Client and Gaming Segment	3,621	2,941	2,140	6,562	4,430
Embedded Segment	824	823	861	1,647	1,707
Total net revenue	$ 7,685	$ 7,438	$ 5,835	$ 15,123	$ 11,308
Operating Income (Loss):					
Data Center Segment	$ (155)	$ 932	$ 743	$ 777	$ 1,284
Client and Gaming Segment	767	496	166	1,263	403
Embedded Segment	275	328	345	603	687
All other	(1,021)	(950)	(985)	(1,971)	(2,069)
Total operating income (loss)	$ (134)	$ 806	$ 269	$ 672	$ 305
Other Data					
Capital expenditures	$ 282	$ 212	$ 154	$ 494	$ 296
Adjusted EBITDA [2]	$ 1,088	$ 1,954	$ 1,430	$ 3,042	$ 2,725
Cash, cash equivalents and short-term investments	$ 5,867	$ 7,310	$ 5,340	$ 5,867	$ 5,340
Free cash flow [3]	$ 1,180	$ 727	$ 439	$ 1,907	$ 818
Total assets	$ 74,820	$ 71,550	$ 67,886	$ 74,820	$ 67,886
Total debt	$ 3,218	$ 4,164	$ 1,719	$ 3,218	$ 1,719

See footnotes on the next page

(1) The Company operates as three operating segments, Data Center, Client and Gaming, and Embedded segments.

The Data Center segment primarily includes Artificial Intelligence (AI) accelerators, server microprocessors (CPUs), graphics processing units (GPUs), accelerated processing units (APUs), data processing units (DPUs), Field Programmable Gate Arrays (FPGAs), Smart Network Interface Cards (SmartNICs) and Adaptive System-on-Chip (SoC) products for data centers.

The Client and Gaming segment primarily includes CPUs, APUs, and chipsets for desktops and notebooks, and discrete GPUs, semi-custom SoC products and development services.

The Embedded segment primarily includes embedded CPUs, GPUs, APUs, FPGAs, System on Modules (SOMs), and Adaptive SoC products.

From time to time, the Company may also sell or license portions of its IP portfolio.

All Other category primarily includes certain expenses and credits that are not allocated to any of the operating segments, such as amortization of acquisition-related intangibles, employee stock-based compensation expense, acquisition-related and other costs, inventory loss at contract manufacturer and restructuring charges.

(2) **Reconciliation of GAAP Net Income to Adjusted EBITDA**

	Three Months Ended			Six Months Ended	
(Millions) (Unaudited)	**June 28, 2025**	**March 29, 2025**	**June 29, 2024**	**June 28, 2025**	**June 29, 2024**
GAAP net income	$ 872	$ 709	$ 265	$ 1,581	$ 388
Interest expense	38	20	25	58	50
Other (income) expense, net	(98)	(39)	(55)	(137)	(108)
Income tax provision (benefit)	(834)	123	41	(711)	(11)
Equity income in investee	(8)	(7)	(7)	(15)	(14)
Stock-based compensation	369	364	346	733	717
Depreciation and amortization	189	175	166	364	328
Amortization of acquisition-related intangibles	568	567	603	1,135	1,225
Inventory loss at contract manufacturer	-	-	-	-	65
Acquisition-related and other costs	96	42	46	138	85
Income from discontinued operations, net of tax	(104)	-	-	(104)	-
Adjusted EBITDA	$ 1,088	$ 1,954	$ 1,430	$ 3,042	$ 2,725

The Company presents “Adjusted EBITDA” as a supplemental measure of its performance. Adjusted EBITDA for the Company is determined by adjusting GAAP net income for interest expense, other (income) expense, net, income tax provision (benefit), equity income in investee, stock-based compensation, depreciation and amortization expense, amortization of acquisition-related intangibles, inventory loss at contract manufacturer, acquisition-related and other costs, restructuring charges, and income from discontinued operations, net of tax. The Company calculates and presents Adjusted EBITDA because management believes it is of importance to investors and lenders in relation to its overall capital structure and its ability to borrow additional funds. In addition, the Company presents Adjusted EBITDA because it believes this measure assists investors in comparing its performance across reporting periods on a consistent basis by excluding items that the Company does not believe are indicative of its core operating performance. The Company’s calculation of Adjusted EBITDA may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view Adjusted EBITDA as an alternative to the GAAP operating measure of net income or GAAP liquidity measures of cash flows from operating, investing and financing activities. In addition, Adjusted EBITDA does not take into account changes in certain assets and liabilities that can affect cash flows.

(3) **Reconciliation of GAAP Net Cash Provided by Operating Activities of Continuing Operations to Free Cash Flow**

	Three Months Ended			Six Months Ended	
(Millions except percentages) (Unaudited)	**June 28, 2025**	**March 29, 2025**	**June 29, 2024**	**June 28, 2025**	**June 29, 2024**
GAAP net cash provided by operating activities of continuing operations	$ 1,462	$ 939	$ 593	$ 2,401	$ 1,114
Operating cash flow margin % from continuing operations	*19%*	*13%*	*10%*	*16%*	*10%*
Purchases of property and equipment	(282)	(212)	(154)	(494)	(296)
Free cash flow	$ 1,180	$ 727	$ 439	$ 1,907	$ 818
Free cash flow margin %	*15%*	*10%*	*8%*	*13%*	*7%*

The Company also presents free cash flow as a supplemental Non-GAAP measure of its performance. Free cash flow is determined by adjusting GAAP net cash provided by operating activities of continuing operations for capital expenditures, and free cash flow margin % is free cash flow expressed as a percentage of the Company's net revenue. The Company calculates and communicates free cash flow in the financial earnings press release because management believes it is of importance to investors to understand the nature of these cash flows. The Company’s calculation of free cash flow may or may not be consistent with the calculation of this measure by other companies in the same industry. Investors should not view free cash flow as an alternative to GAAP liquidity measures of cash flows from operating activities.

The Company has provided reconciliations within the earnings press release of these Non-GAAP financial measures to the most directly comparable GAAP financial measures.

RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES

(in millions, except per share data) (Unaudited)

	Three Months Ended		
	June 28, 2025	March 29, 2025	June 29, 2024
GAAP gross profit	**$ 3,059**	**$ 3,736**	**$ 2,864**
GAAP gross margin	***40%***	***50%***	***49%***
Stock-based compensation	6	5	5
Amortization of acquisition-related intangibles	260	251	231
Acquisition-related and other costs [(1)]	1	-	1
Non-GAAP gross profit	**$ 3,326**	**$ 3,992**	**$ 3,101**
Non-GAAP gross margin	***43%***	***54%***	***53%***
GAAP operating expenses [(2)]	**$ 3,193**	**$ 2,930**	**$ 2,595**
GAAP operating expenses/revenue %	***42%***	***39%***	***44%***
Stock-based compensation	363	359	341
Amortization of acquisition-related intangibles	308	316	372
Acquisition-related and other costs [(1)]	93	42	45
Non-GAAP operating expenses [(2)]	**$ 2,429**	**$ 2,213**	**$ 1,837**
Non-GAAP operating expenses/revenue %	***32%***	***30%***	***31%***
GAAP operating income (loss)	**$ (134)**	**$ 806**	**$ 269**
GAAP operating margin	***(2%)***	***11%***	***5%***
Stock-based compensation	369	364	346
Amortization of acquisition-related intangibles	568	567	603
Acquisition-related and other costs [(1)]	94	42	46
Non-GAAP operating income	**$ 897**	**$ 1,779**	**$ 1,264**
Non-GAAP operating margin	***12%***	***24%***	***22%***

	Three Months Ended					
	June 28, 2025		March 29, 2025		June 29, 2024	
GAAP net income / earnings per share	**$ 872**	**$ 0.54**	**$ 709**	**$ 0.44**	**$ 265**	**$ 0.16**
(Gains) losses on equity investments, net	(61)	(0.04)	2	-	-	-
Stock-based compensation	369	0.23	364	0.22	346	0.21
Equity income in investee	(8)	-	(7)	-	(7)	-
Amortization of acquisition-related intangibles	568	0.35	567	0.35	603	0.37
Acquisition-related and other costs [(1)]	96	0.05	42	0.03	46	0.03
Release of reserves for uncertain tax positions [(3)]	(853)	(0.52)	-	-	-	-
Income tax provision	(98)	(0.06)	(111)	(0.08)	(127)	(0.08)
Income from discontinued operations, net of tax [(4)]	(104)	(0.07)	-	-	-	-
Non-GAAP net income / earnings per share	**$ 781**	**$ 0.48**	**$ 1,566**	**$ 0.96**	**$ 1,126**	**$ 0.69**

(1) Acquisition-related and other costs primarily include transaction costs, purchase price fair value adjustments for inventory, certain compensation charges and workforce rebalancing charges.

(2) Effective first quarter of 2025, licensing gain is reclassified against Marketing, general and administrative expenses as the amounts were immaterial.

(3) Release of reserves for uncertain tax positions pertains to the reasonable cause relief related to dual consolidated losses approved by IRS in Q2'25.

(4) Income from discontinued operations is related to ZT Systems' manufacturing business which is classified as held-for-sale.

RECONCILIATION OF GAAP TO ADJUSTED NON-GAAP FINANCIAL MEASURES

(Millions) (Unaudited)

	Three Months Ended June 28, 2025
GAAP gross profit	**$ 3,059**
GAAP gross margin	***40%***
Stock-based compensation, amortization of acquisition-related intangibles, acquisition-related and other costs	267
Inventory and related charges associated with U.S. export restrictions	800
Non-GAAP gross profit (as adjusted to exclude inventory and related charges associated with U.S. export restrictions)	**$ 4,126**
Non-GAAP gross margin (as adjusted to exclude inventory and related charges associated with U.S. export restrictions)	***54%***